

Multiple Choice (10 marks)

1. The term "menu costs" refers to
 - (a) less choices due to inflation.
 - (b) financial assets being worth less due to inflation.
 - (c) a la carte savings falling.
 - (d) resource misallocation due to inflation.
2. Which of the following would lead to a decrease in the money supply?
 - (a) The FED lowers the discount rate.
 - (b) The FED sells government securities in the secondary market.
 - (c) The federal government spends less money.
 - (d) The FED lowers reserve requirements.
3. A recessionary gap exists when the short-run equilibrium level of real GDP
 - (a) decreases over time
 - (b) equals the full-employment level of real GDP
 - (c) is above the full-employment level of real GDP
 - (d) is below the full-employment level of real GDP
4. What will happen to the equilibrium price and the equilibrium quantity of good Z when the price of good X which is a close substitute for Z rises?
 - (a) The equilibrium price will rise and the equilibrium quantity will fall.
 - (b) The equilibrium price will fall and the equilibrium quantity will rise.
 - (c) The equilibrium price and the equilibrium quantity will both rise.
 - (d) The equilibrium price and the equilibrium quantity will both fall.
5. Which of the following is true of money and financial markets?
 - (a) As the demand for bonds increases the interest rate increases.
 - (b) For a given money supply if nominal GDP increases the velocity of money decreases.
 - (c) When demand for stocks and bonds increases the asset demand for money falls.
 - (d) A macroeconomic recession increases the demand for loanable funds.

True / False (10 marks)

Answer True or False

6. True or False: Flash estimates of GDP do not require any revisions and are released immediately without delay.
7. True or False: Some components of M₂, such as savings accounts, are less liquid than those in M₁, like cash and demand deposits.
8. True or False: Keynesian economists argue that the economy is inherently stable without the need for government intervention.
9. True or False: If the price of good A increases and the quantity demanded of good B increases, then goods A and B are complement goods.
10. True or False: A tax cut in a full employment economy will lower both real output and the price level.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the various methods that labor unions use to negotiate for higher wages and explain why efforts to decrease the prices of substitute resources are not included among these methods.
12. Discuss the effects of a rightward shift in the aggregate demand curve on the equilibrium price level and quantity of output, assuming an upward sloping aggregate supply curve.

End of Paper